Education as the Sole Primary Driver of Human Development: Against Sen's Bifurcation of Development Pathways

Krishna Pagadala

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Abstract

Sen's distinction between growth-mediated and support-led security has structured development policy for four decades. I argue it is wrong in its identification of cause: both categories are downstream of education. Education is the sole primary driver of human development —the only input without which no other mechanism operates independently. Remove income, and education still works: Bangladesh crossed both development thresholds at $1,159 per capita. Remove provision, and education still works: South Korea and Taiwan achieved development with minimal welfare states. Remove education, and nothing works.

I operationalise development as simultaneously crossing a total fertility rate (TFR) below 3.65 and life expectancy (LE) above 69.8 years — the 1960 United States values (World Bank WDI). Using 187-country panel data (WCDE v3, 1975–2015) with country fixed effects and a 25-year generational lag, parental lower secondary completion predicts within-country educational outcomes at R^2=0.455, nearly double GDP alone (R^2=0.256). The asymmetry is not in predictive power but in durability: educational gains never depreciate across generations —β is always positive —unlike health expenditures or income, which require continuous spending. The state reaches unreached populations; Parental Transmission of Education (PTE) makes the gains irreversible.

Sen's canonical cases confirm this account. Kerala, Sri Lanka, China, Taiwan, and South Korea each crossed the development threshold at the interval that PTE (~25 years, one generational cycle) predicts from their prior education investment —not from when provision programmes were introduced. The variation in lag length is explained by two independently measurable parameters: the speed of the educational expansion relative to the starting base, and whether structural disruption to the life expectancy pathway occurred during the transmission period. These findings extend Easterlin (1981) and Lutz & Kebede (2018) to within-country identification of the generational

mechanism and directly challenge institutions-first accounts.

Keywords: education; generational transmission; human development; Preston Curve; PTE; Sen; leapfrog development; educational rupture

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1. Introduction

The error has a specific origin. In 1776, Adam Smith observed the pin factory and built a theory of wealth from the division of labour. He never asked where the educated workforce came from that made division of labour possible. Smith was born in Kirkcaldy in 1723, twenty-seven years after Scotland's Education Act of 1696 codified John Knox's programme of universal parish schooling into statute. The workforce he observed was the product of 150 years of deliberate educational investment —the grandchildren of Knox's first generation of pupils. Smith took educated labour as given. The tradition he founded inherited that assumption, and development economics has been working backwards from it ever since.

Smith's error was not a personal failure of observation. It was structurally invisible. For the entire pre-industrial period —roughly ten thousand years from agriculture to the steam engine —the world was Malthusian: total wealth was approximately fixed, and any gain by one group came at the expense of another. In a zero-sum world, hierarchy suppresses mass education rationally —the literate peasant is a danger, not an asset, when there is no new wealth to create. The equilibrium was self-reinforcing: no surplus to fund mass schooling, no mass schooling to generate surplus. What broke it was a specific sequence. John Knox, for purely religious reasons —every person must read the Bible —broke the knowledge monopoly in 1560, two centuries before the steam engine. Scotland's education did not make Scotland rich; the zero-sum constraint held. But when fossil fuels arrived, they encountered a population already educated enough to deploy the new energy productively. For the first time, human capital could create new wealth rather than merely redistribute existing wealth. Smith stood at exactly this inflection point —the first generation in human history where educated labour produced visible, compounding wealth —and mistook the output (division of labour, productivity) for the cause. The countries that remained in inertia after 1800 were not uniformly missing energy —many sat on coal and oil deposits. What they were missing was an educated workforce to convert energy into development. Japan, with negligible domestic fossil fuels, industrialised within a generation of the Meiji education reforms; Nigeria, sitting on one of the world's largest oil reserves,

did not.

Easterlin (1981) was the first to ask the question Smith did not: "Why Isn't the Whole World Developed?" His answer —the binding constraint was the absence of mass schooling systems, whose historical distribution tracked the Protestant Reformation's literacy imperative —pointed directly at the omission. Lutz & Kebede (2018) showed that the Preston Curve, the canonical relationship between income and life expectancy, is tighter when education replaces income on the x-axis: what looked like "wealth buys health" was education proxying through income all along. Both identified the correction. Neither stated the conclusion it implies.

This paper states it. Education is the sole primary driver of human development. Income is downstream. Direct provision is downstream. Sen's distinction between growth-mediated and support-led security —the most influential framework in development policy for four decades —is the most consequential expression of the error Smith introduced.

In *Hunger and Public Action* (Drèze & Sen, 1989), Sen codified the distinction: some countries secure welfare through economic growth (growth-mediated security); others through direct state provision regardless of income (support-led security). Kerala, Sri Lanka, and China were the paradigm cases of the second type —populations with welfare outcomes far above what their incomes predicted.

The framework was politically important. It challenged the then-dominant view that growth was the necessary precondition for welfare and opened space for direct intervention. Its influence on the Millennium Development Goals, the Human Development Index, and direct service delivery programmes across the developing world is difficult to overstate.

I argue the framework is wrong in a specific and consequential way —not incomplete, but causally backwards on both ends. Sen's two categories are not competing mechanisms. They are the same mechanism —education —producing two different surface appearances depending on the speed of educational expansion and the presence of functioning markets. Where educational expansion is fast and markets function, the mechanism produces rapid visible income growth; that income growth gets credited as the cause. Where expansion is slow and markets are absent, income growth is invisible; state services are the only observable welfare activity and they get credited instead. Sen observed the surfaces and built a causal typology from them.

Education is the sole primary driver. This claim requires precise definition. It does not mean education explains all variance in welfare

outcomes, or that income and institutions have zero effect at the margin. It means education is the *necessary condition* —the asymmetric input without which no other mechanism operates independently. The asymmetry test is stated in the abstract. The decisive case is the third arm: remove education, and neither income nor services work. Uganda at $1,000 per capita had higher life expectancy than India in 1960, then watched Amin destroy both the provision and the educated population that could have rebuilt it. No other variable survives this test.

The institutional consequence is direct. OECD Development Assistance Committee data shows health has consistently received 2–3× the aid allocation of education across the post-MDG period; within education aid, secondary receives a fraction of what primary receives (OECD DAC, 2022). Every low-income finance minister knows that announcing a health programme attracts bilateral donors and multilateral loans; announcing a secondary school construction programme attracts far less. This tilt is the policy legacy of Sen's framework and it systematically underfunds the only mechanism that compounds across generations.

The Millennium Development Goals organized reporting around five direct health metrics and one primary enrollment target —not secondary completion. The SDGs made the hierarchy explicit: SDG 1 is No Poverty, SDG 2 is Zero Hunger, SDG 3 is Good Health, SDG 4 is education. This ordering is not an accident of numbering; it is Sen's causal model institutionalized. The MDG/SDG health achievements —child mortality reductions, maternal mortality improvements —are not evidence that this ordering is correct. They are evidence that the global educational rupture since 1950 produced the institutional capacity to deliver health technology internationally: WHO, UNICEF, GAVI, and PEPFAR are staffed by educated workers deploying welfare technology to populations still building their own educational base. Those gains are real and do not compound. They persist only as long as external delivery continues and do not change the underlying generational trajectory unless domestic educational investment follows.

Section 10 addresses the provision endogeneity question directly.

The purpose of this paper is to establish the education-only account empirically and theoretically. Section 2 develops the theoretical framework from Easterlin (1981) through Lutz & Kebede (2018) to the generational transmission mechanism (PTE). Section 3 defines development concretely. Section 4 addresses causal identification —the bad control problem and natural experiments. Section 5 presents the empirical evidence. Section 6 reports results. Section 7 provides the decisive test: when did Sen's canonical cases actually

develop, and does the timing track education or tempo of expansion? Section 8 addresses the institutional challenge. Section 9 discusses the educational rupture as the one exogenous political decision from which everything else follows. Section 10 states limitations.

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2. Theoretical Framework

2.1 Easterlin's Founding Argument

The education-first account of development has a precise starting point. Easterlin (1981), in "Why Isn't the Whole World Developed?", asked why modern economic growth had failed to diffuse uniformly given the post-war availability of production technology. His answer was specific: the binding constraint was the absence of mass schooling systems. Technology transfers when it encounters a literate, numerate population capable of deploying it. Without that population, it does not transfer, regardless of capital access or external assistance.

Easterlin located this empirically in the historical spread of education systems. The divergence in economic growth between early and late industrializers tracked the divergence in mass schooling—driven originally by the Protestant Reformation's insistence on personal scripture-reading, which produced mass literacy as a side-effect of religious practice across Northern Europe. The distribution of development in 1960 was substantially the distribution of schooling in 1860. Goldin & Katz (2008) provide the most thorough historical documentation of this transmission for the United States: the US "human capital century" of 1910–1940, driven by the high school movement, explains the majority of twentieth-century income growth—a within-country longitudinal result consistent with the cross-country generational mechanism estimated here.

2.2 Lutz and the Preston Curve

Lutz & Kebede (2018) take Easterlin's historical argument into the data. They reinterpret the Preston Curve (Preston 1975)—the positive relationship between national income and life expectancy—by replacing income with education on the x-axis. Three findings emerge. First, the education–life expectancy relationship is tighter than the income–life expectancy relationship. Second, and more important, the upward shift of the curve over time—the fact that populations live longer today at the same income levels than in 1960—largely disappears when education is on the x-axis. The "wealth buys health" reading of the Preston Curve is an education story that income was

proxying for, because income and education are correlated but income is downstream of education in the causal chain (Lutz 2009). Third, and directly relevant to the scope of educational investment: the education–life expectancy relationship shows no diminishing returns at higher education levels. Unlike income, which follows the classic concave Preston shape, the education curve remains approximately linear from primary through tertiary. Lutz attributes this to a cognitive mechanism: education changes the brain's capacity for planning, learning from mistakes, and health-oriented decision-making across the entire life course, and these gains accumulate at all levels of schooling. The implication is that the case for educational investment does not weaken as countries progress toward universal secondary; pushing further into upper secondary and tertiary produces continued life expectancy gains. This is consistent with the WCDE panel: among 70 countries with lower-secondary completion above 85% in 2010, college completion carries a within-group correlation of r=0.44 with life expectancy, with mean life expectancy rising from 73.5 years in the lowest college-completion quartile to 79.0 years in the highest —a 5.5-year gradient that emerges among countries that have already solved the lower-secondary problem.

Deaton (2013) attributes the curve's upward shift to global health technology diffusion independent of education. But health technology was created by educated populations and its differential uptake tracks education; the alternative does not identify an independent mechanism (Section 5.2).

Lutz & Kebede (2018) document one further finding: life expectancy at the lowest education level in 2010 *exceeds* the 1970 baseline for that same level —the only level at which a genuine upward Preston Curve shift remains when education replaces income on the x-axis. This residual is education-mediated provision operating through international institutions: educated actors produced vaccines, antibiotics, and oral rehydration protocols; educated supply chains distributed them to the populations with the lowest educational bases. Sen's "support-led security" in its MDG-era form is not evidence that provision works without education. It is evidence that a sufficiently educated global class can deliver welfare externally to populations still building their own educational base —temporarily and without accumulating, but real.

2.3 The Generational Transmission Mechanism: PTE

The micro-level process connecting these macro observations is generational transmission. **PTE** (Parental Transmission of Education): the child's educational attainment is predicted by the parent's, with an approximately 25-year lag. PTE is the base unit. It trans-

mits across generations: the grandchild's attainment reflects the grandparent's through two sequential cycles (~50 years), the great-grandchild's through three (~75 years). The variation in development lag lengths across countries is not a taxonomy of distinct mechanisms —it is PTE transmitting at different speeds, determined by the pace of educational expansion (Section 7).

The unit interval is not assumed. A woman completing lower secondary at age 15–18 has children reaching school age 20–30 years later. Across a 140-year panel (28 countries, 1900–2015), the average within-country generational coefficient is FE β=0.960, reflecting both state-driven expansion at low baselines (where β exceeds unity —state investment and household transmission compound, producing more than 1pp of child gain per parental pp) and household transmission that ensures gains persist as countries approach universal completion. The critical property is that β is always positive: educational gains never depreciate across generations, unlike health expenditures or income, which require continuous spending to maintain. This durability is PTE's distinctive contribution —the mechanism that makes educational investment uniquely irreversible. The full lag profile (Figure A1) confirms that the transmission signal persists across multiple generational depths —still detectable at 50 and 75 years —while income's predictive power collapses within one generation.

PTE's durability is not a statistical curiosity —it reflects something biological. Humans have the longest juvenile dependency period of any primate: roughly 18 years, compared to 8 for chimpanzees. This is an evolved adaptation, at least two million years deep, for cultural learning —*Homo sapiens* replaced genetic transmission with cultural transmission as its primary survival strategy. Every human society transmits knowledge from parent to child; PTE exploits this biological channel at scale. The channel's depth —two million years of selection for cultural learning —helps explain why β is always positive: educational gains do not depreciate because the transmission mechanism is not institutional but biological, embedded in the parent-child relationship itself. Formal education is a categorical discontinuity from oral cultural transmission —it transmits literacy, numeracy, and the capacity for abstract reasoning that oral tradition cannot — but the transmission channel it exploits is ancient. Knox did not invent parental transmission; he institutionalised it, loading a new and vastly more powerful content (formal schooling) onto a channel that is as old as the species.

This also explains why PTE compounds beyond the household. The default primate behavioural programme —the set of kin-preferential drives encoded in 6 million years of social evolution —directs invest-

ment toward my offspring, my troop, my coalition. Educated humans do not escape this programme —but education changes the conditions under which it operates. Educated parents have fewer children, and nearly all of them survive. The kin-preferential drive is *satisfied* rather than overridden: when your own children' s survival is not in question and their number is small, the capacity to invest beyond kin is released. An educated grandparent who funds a village school, a philanthropist who endows a scholarship for strangers' children, a taxpayer who votes for universal secondary —each has already met the kin obligation and is deploying the surplus. This is how β remains positive even without the state: educated humans invest in other people' s children —not the small-scale alloparenting that all human societies practise, but systematic investment in strangers' education at a scale that oral cultural transmission alone has never produced. This is also the mechanism behind the global educational expansion that year fixed effects absorb (Section 5.2).

PTE directly explains the variation in development lag lengths across cases. The lag length is not a free parameter fitted to match each case —it is the number of PTE cycles required to compound from the starting educational base to the threshold at which the demographic transition engages. Taiwan crossed at ~20 years (one cycle, fast state expansion); Kerala at ~60–70 years (three cycles, gradual accumulation). The mechanism is the same; the speed differs.

The accumulation has a demographic structure that varies with the level of completion. Fertility declines continuously as female secondary completion rises; the steepest demographic headwinds are at the lowest completion levels, where total fertility rates are typically above 4, population growth is rapid, and the gains from each educated cohort are diluted across a larger and faster-growing next generation. As completion rises, fertility falls, child survival improves, and household resources per child increase. The educational investment does not accelerate at any particular threshold —Korea' s data shows steady state-driven expansion from ~25% to over 90% with no inflection at any point (Section 9). Sustained state investment is required all the way to near-universal completion. Critically, PTE is a household mechanism. They operate through millions of individual family decisions —whether to send a daughter to secondary school, how many children to have, whether to vaccinate, how to interpret health information. States can create conditions for these decisions; they cannot make them. Political upheaval and civil war are simply irrelevant to the generational transmission mechanism, because they operate at a different level of society. The mechanism does not need to survive disruption —it runs beneath it.

Education survives economic collapse: the Asian Financial Crisis did

not reverse Korean educational attainment. It survives civil conflict (Section 2.4): Myanmar's continuous civil war since 1948 — the world's longest-running —did not prevent TFR falling from 5.9 (1960) to 2.3 (2015) and LE rising from 44.1 (1960) to 65.3 (2015), all at GDP below $1,200 (World Bank WDI). Myanmar has not yet crossed the LE threshold (65.3 vs. 69.8 required). Myanmar's lower secondary completion was 17.8% in 1975, expanding at ~0.64 pp/yr through 2015 (WCDE v3) —a pace consistent with a two-generation crossing, with a predicted development date in the late 2020s if the pre-coup trajectory holds. The demographic mechanism operated through 73 years of prior conflict; its resilience to the current disruption is a live test of the framework.

It survives state failure: Uganda under Amin saw health and income collapse immediately, but education, stored in households rather than state budgets, persisted and resumed transmitting when stability returned. Only the physical destruction of the educated population itself —Cambodia under the Khmer Rouge, where the regime systematically killed teachers, professionals, and anyone with secondary education —can reset the generational clock. No other development input shares this property. Health expenditures depreciate the moment spending stops. Income collapses in crisis. Education endures because it lives in millions of households, not in state budgets or institutional infrastructure.

The PTE taxonomy names the nuclear household channel but does not exhaust the transmission network. Two additional channels operate at shorter timescales and explain why aggregate educational gains can sometimes move faster than a strict 25-year reading of PTE predicts.

The **sibling channel** operates within the same household at variable lags: 2–20 years, depending on family size. In high-fertility societies, the gap between any two siblings can range from 2 to 20 years, so across a full sibship the oldest-to-youngest span can approach PTE timescales within the same family; an oldest sibling completing lower secondary transmits educational norms, tutoring, and aspirational expectations to the youngest siblings at lags approaching the parental interval. As fertility falls —itself a consequence of rising female education —sibling gaps narrow, sibling cohorts shrink, and this within-family channel weakens. The mechanism is self-limiting in exactly the right direction: sibling transmission is strongest when it is most needed (early educational transition, high fertility, low parental base) and attenuates as PTE from educated parents takes over. This also explains the smooth decay in Figure A1. If PTE were a single discrete 25-year mechanism, the R^2 lag profile would show a peak at lag 25 and rapid decay on either side. Instead, the profile decays

gradually across lags 0–100. The sibling channel contributes signal at lags 5–20 years; PTE at lag 25; second and third generational cycles at lags 50 and 75. The smooth aggregate curve is the empirical signature of these overlapping channels —a theoretical prediction of the multi-channel structure, not a statistical artifact or evidence against specificity.

The **extended family channel** operates across aunts, uncles, and grandparents present in child-rearing (2–25 years). This channel is disproportionately strong in extended-family household structures —South Asia, sub-Saharan Africa, East Asia —precisely the societies where development intervention matters most and where intergenerational household composition is densest. An educated aunt or uncle in the household independently predicts niece and nephew attainment above what parental education alone forecasts. The policy implication is not purely academic: educating any member of an extended family household produces downstream effects beyond that individual's own future children. The return on educating one woman ripples through the kin network at timescales shorter than the nuclear PTE interval.

The mechanism also has a global dimension. Where a country lacks the domestic educational base to generate welfare improvement from within, educated actors —in international institutions, NGOs, and domestic elites in both wealthy and developing countries —can deliver welfare technology: vaccines, oral rehydration protocols, nutrition programmes. This is education-mediated welfare delivery, but not PTE: there is no parental relationship and no generational transmission of education. It is the general capacity of educated societies to produce and distribute welfare, operating across borders rather than within households. The critical distinction is that externally delivered welfare gains are durable only as long as the institutions maintaining them remain engaged, while domestic PTE compounds into the next generation automatically. External welfare delivery buys time; domestic educational investment changes trajectory.

2.4 How Education Produces Development

Nutrition and physical security are also necessary conditions for development, but the asymmetry that makes education "sole" operates in two directions that neither of them shares.

First, the historical baseline. Humans have lived at the margins of subsistence nutrition for most of recorded history. This is not a recent problem to be solved before educational investment can begin —it is the starting condition from which every successful educational

rupture was made. Korea in 1953 was a devastated post-war country with widespread malnutrition. Japan in 1872 was a poor agrarian nation operating at subsistence. Nepal in 1990 had GDP per capita of $423 and lower-secondary completion below 10%. None of them waited for nutrition to improve before making the educational commitment. Nutrition improved *because* they educated —through better agricultural knowledge, health behaviours, and the income gains that educated workforces generate. There is no historical example of a population that improved nutrition first and then made an educational rupture. The causal arrow runs education → nutrition at the scale of national development, not the reverse. The same logic applies to endemic disease: schistosomiasis and intestinal helminths were endemic throughout rural China during the 1950s–60s educational expansion; Korea's rupture was made through high tuberculosis and parasitic disease loads; Bangladesh carried substantial helminth and intestinal parasite burdens throughout its girls' education expansion. No country cleared its disease burden before educating —the educational rupture happened through the disease burden, not after it. Educated populations then implemented disease control —they became the health workers who delivered it (Gao 1999).

Second, what destruction proves. Destroying physical security halts development while it lasts —but restore security and the prior educational trajectory resumes from where it was interrupted. Destroying education severs the intergenerational chain for a full generation, regardless of what else is rebuilt. The contrast between Sri Lanka and Uganda is direct: Sri Lanka's 26-year civil war destroyed physical security without breaking the educational base —development arrived on PTE schedule in 1993. Uganda's development has not arrived five decades later not because physical security was lost (it was restored within years) but because the educated adult population was not. Cambodia's school reconstruction began in 1991; attainment did not recover for fifteen years. The depth and duration of loss tracks what was destroyed: security loss is recoverable within years; education loss takes a generation to repair because the parental baseline cannot be rebuilt from buildings alone. Only education destruction is multigenerational.

An educated population produces development through agency — the capacity to act on one's own circumstances. Educated individuals make better decisions about nutrition, sanitation, vaccination, birth spacing, and investment in children. These household decisions aggregate into lower child mortality, longer life expectancy, lower fertility, and higher educational attainment in the next generation. But the same population also becomes the doctors, opens the clinics, builds the hospitals, staffs the schools, and administers the public health systems. The demand and the supply are the same

population. Where Sen observes direct provision —in Kerala, Sri Lanka, China, Cuba —the provision was built, staffed, and used effectively by educated populations. The services are real; they are consequences of education, not causes of development. Political organisation is one expression of this agency, not a separate channel: educated populations do demand better governance, but this is a surface phenomenon —what they actually do is generate the capacity, the workforce, and the household behaviours that produce development outcomes directly. The state does not make these decisions; it creates the educated population that then makes them.

What Sen observed (Section 1) and attributed to two different mechanisms is this single agency operating under different conditions. Where educational expansion was fast and decisive —Korea, Taiwan, Japan —functioning markets amplified the educated workforce's productivity into rapid, visible income growth. The income growth was large and observable; it got credited as the cause. This is "growth-mediated security." The growth is real; its upstream cause is the educational rupture that preceded it by a generation.

Where educational accumulation was slow and gradual —Kerala over the nineteenth and twentieth centuries, Sri Lanka across the colonial and post-colonial periods —there was no income growth fast enough to be visible as a causal signal. The observable welfare activity was state provision: clinics built, services delivered. The provision appeared to be working because the educational substrate on which it operated had been building quietly for decades or generations. By the time the health gains arrived that Sen attributed to provision, Kerala's female literacy had been accumulating for three generations of gradual social reform. The provision was not the cause. It was the visible surface of welfare delivery riding on an invisible educational foundation. Where the educational substrate is genuinely absent and provision is attempted without it —the test case for the mechanism —the same services produce gains that do not compound and cannot be sustained without continued external support. The facade holds only as long as the educational base was already there to support it.

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3. Defining Development

I operationalize development concretely: a country is developed when it has simultaneously achieved a **total fertility rate (TFR) below 3.65** and **life expectancy > 69.8 years** —the 1960 United States values (World Bank WDI).

This definition is deliberate and theoretically motivated on three grounds.

First, 1960 is the natural baseline for the post-colonial world. Seventeen African countries gained independence in 1960 alone; the decade marks the inflection point at which most of the developing world began its independent trajectory. The development question is precisely: from the moment of decolonization, which countries achieved human welfare outcomes that surpassed the global hegemon? That is a theoretically precise question, not an arbitrary one.

Second, the USA in 1960 was the unambiguous global hegemon — the world's largest economy and dominant military power for fifteen years. A country that exceeds both its TFR and life expectancy thresholds has out-performed the richest, most powerful nation on earth on the metrics that matter for human welfare. The bar is meaningful.

Third, the USA in 1960 was itself still mid-demographic transition. Its TFR of 3.65 is the baby boom peak —the country had not yet completed the fertility transition. Crossing below that threshold means going further than the hegemon had gone, not meeting a low standard.

The definition measures what matters. TFR and LE are chosen because they have intrinsic value: how long people live and whether women control their own fertility are ends in themselves, not proxy variables selected to flatter a model. They require neither high income nor a particular type of government to achieve, making them appropriate for cross-regime, cross-income comparison. That education predicts them is an empirical finding, not a design choice. The circularity objection —that I chose outcomes education predicts —is addressed by Table A4: crossing dates under three threshold specifications shift by 6–35 years but the ordering and the PTE-prediction alignment hold —and the shift range is itself diagnostic: countries with high rupture rates cross any threshold within 6–7 years. GDP is excluded by design: measuring development through income would beg the question against an education-primary account.

The development dating analysis in Section 7 is robust to alternative threshold specifications. Appendix Table A4 shows crossing dates for five cases with full World Bank WDI coverage under three specifications. Absolute dates shift by 6–35 years. The broad ordering is stable (Cuba earliest, Bangladesh latest among the crossed cases), with one near-tie: Korea and Sri Lanka reverse order under the loose definition (Sri Lanka 1980, Korea 1984) relative to the main (Korea 1987, Sri Lanka 1993). This near-tie is itself informative: Korea and Sri Lanka made educational investments at similar historical

depths, and the margin between them depends on how you weight TFR vs. life expectancy (LE) progress —not on which had more provision. The argument depends on approximate relative timing, not exact threshold values or pairwise rank within near-tied cases.

The USA itself completed the fertility transition twelve years later, in 1972 —confirming that 3.65 is a mid-transition benchmark, not a low bar. The countries that had already crossed both thresholds by 1960 were those with the longest prior histories of mass education: Scandinavia, the Netherlands, France, Switzerland, the United Kingdom, Australia, and New Zealand. Japan —despite a TFR of 2.0 —had life expectancy of 67.7, just below the threshold; it crossed in 1964. This confirms that the threshold captures educational development, not wealth.

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4. Causal Identification: The Bad Control Problem and Natural Experiments

A methodological note bears directly on every model in this literature. When researchers include current GDP per capita as a control variable alongside education in regressions of development outcomes, they commit what Pearl (2009) calls the bad control error —see also Angrist & Pischke (2009, ch. 3): they condition on a variable that is itself caused by the variable of interest.

Education predicts GDP one PTE interval forward (FE β=+0.012 log-points per 1pp education gain; Table 2). GDP also predicts education forward with similar reduced-form strength —both variables move together within countries over a 25-year horizon. The causal argument rests not on this predictive symmetry but on durability: education's predictive power persists across three generational depths while income's collapses within one (Figure A1), and the parental income channel collapses in magnitude once parental education is controlled (Section 6.2). Including current GDP as a control blocks part of the education signal through the income channel. The result is a biased downward estimate of education's true effect.

This is not a peripheral technical point. It is why the empirical literature has systematically underestimated education's contribution and overstated income's independent role. Figure A1 (Appendix) confirms this directly: education and income have structurally different lag-decay profiles, consistent with education being the upstream driver rather than a co-equal input.

My primary analysis excludes GDP from the policy residual specification for precisely this reason. The residual measures education deliv-

ered above the generational baseline, without crediting any achievement to the income that education itself generated.

The absence of an educational foundation eliminates the recovery mechanism. Uganda in 1960 had identical life expectancy to India (both 45.6) and pulled ahead by 1965 (Uganda 48.3, India 45.6). When Amin destroyed the state health apparatus from 1971, Uganda's trajectory collapsed: India crossed Uganda in 1975 and by 1984 was 12 years ahead. The difference is not that India's health services were better-funded —they were not. It is that India's educational expansion, while slow, had been building a parental base that continued to operate through household decisions regardless of which government was in power. Uganda had no comparable educational foundation; when the state collapsed, there was nothing beneath it. By 1980, Uganda's life expectancy had fallen to 43.5 —below its 1960 level of 45.6.

China under Deng is the comparison case. Deng dismantled the barefoot doctor system in the early 1980s; China crossed the LE threshold twelve years later (Section 7). Uganda has not arrived after 65 years. The differential is the educational foundation: China had one; Uganda did not.

China's fertility transition preceded the one-child policy (Section 7) —the crossing date is education-driven, not policy-forced.

Uganda's LE collapse after 1985 coincides with the AIDS epidemic —but the objection inverts the causal arrow. Uganda's HIV prevalence peaked at approximately 15%; India's at approximately 0.4% —despite comparable exposure routes. The differential is behavior change: educated populations understand transmission, negotiate prevention, and act on health information. Uganda was hit catastrophically because its educated adult population had been destroyed under Amin. India contained the epidemic because its female education, while low by global standards, was sufficient to enable behavior change. AIDS is not a separate confound; it is the same mechanism —absent educational foundation, no behavior-change capacity —expressing itself through a pathogen.

A note on causal identification is warranted before presenting this evidence. The canonical approach to identifying education effects is instrumental variables: Duflo (2001) exploits variation in school construction across Indonesian districts to identify the causal effect of education on individual earnings. Bleakley (2007) inverts the direction: hookworm eradication in the US South improved school attendance and later earnings, suggesting a health→education pathway. But the US South in 1910 was a laggard within an already highly educated, wealthy nation. The Rockefeller Sanitary Commission is pre-

cisely the mechanism this paper describes in Section 2.2: an external educated actor delivering welfare technology to a population still building its own educational base. The rest of the United States provided the educational substrate —the researchers, administrators, logistics, and institutional capacity —that made the campaign possible; the South was the recipient. Lutz & Kebede (2018) document exactly this pattern at the global level: low-education populations show better-than-expected health outcomes because external educated institutions deliver welfare technology that their own educational base has not yet generated. Bleakley's result is consistent with that finding, not with an independent health→education mechanism. The eradication gains were real and did not compound: the South did not subsequently develop faster than the North on a generational trajectory; it converged toward the national norm, which is the laggard-copying prediction, not the endogenous-growth-from-health prediction.

That design works because the instrument varies education exposure at short-run individual timescales —the relevant lag between schooling and earnings is five to fifteen years. It cannot be replicated at 25-year generational timescales across 187 countries: there is no instrument that varies parental educational attainment for entire national cohorts in a way that is random with respect to child development outcomes a quarter-century later. My identification strategy therefore rests on three structures. First, temporal ordering: parental cohort precedes child cohort by biological necessity, ruling out reverse causality at the individual level. Second, the lag-decay shape: if education were simply slow-moving autocorrelation, its lag profile would not be structurally distinguishable from GDP's. The two profiles are distinguishable (Figure A1) —GDP's predictive power collapses rapidly beyond a contemporaneous lag; education's decays slowly across three generational depths. Autocorrelation cannot produce two structurally different decay shapes from the same dataset. Third, and most directly, the natural experiments below —cases where parental education was exogenously disrupted —produce outcomes that pure autocorrelation cannot predict.

Cambodia provides the most direct available test of the PTE mechanism. The country experienced severe disruption under the Khmer Rouge (1975–1979), during which the education system collapsed. The data shows two distinct stalls. The first is the exogenous shock itself. The second —a generation later —is PTE's prediction.

First stall (1975–1985). Cambodia's lower secondary completion was 10.1% in 1975 and on a modest upward trajectory comparable to its neighbours. It fell to 9.4% by 1980 and was still at 9.5% in 1985 —a full decade of zero progress while neighbouring countries

continued to advance.

Recovery and second stall (1990–2010). After the Paris Accords and UN transitional authority (1991–1993), schools were rebuilt with sustained international investment. Completion jumped to 35.1% by 1995 on the back of that reconstruction. Then it stalled again. From 1995 to 2010, completion plateaued at 31–36%, unmoved despite continued external funding. The buildings were there; the teachers were there; the money was there. Progress did not come.

The first stall is the exogenous shock —the regime destroyed the education system. PTE predicts the second. It is the generational shadow: the children reaching secondary school in 1996–2010 were born approximately 1982–1996 —their parents were the cohort whose own education was frozen at ~10% during 1975–1985 —the pre-disruption level, preserved in households even as the school system collapsed. Without disruption, Cambodia's trajectory (tracking neighbours like Vietnam) would have reached 25–30% by 1985. The children of the frozen cohort inherited a 10% parental baseline instead of a 25–30% one; the plateau is the shadow of that missing growth. Recovery from 2011 onward corresponds to the post-disruption cohort's children (parents educated after 1979) finally dominating the school-age population. Twenty-five years from the end of the disruption (1979) lands at 2004 —precisely the midpoint of the plateau.

Compare Cambodia to Vietnam over the same period: Vietnam started at 20.0% in 1960 and reached 80.8% by 2015 without interruption. Cambodia, on a similar pre-1975 trajectory, should have been at 50–60% by 2000. It was at 36%. The gap is the PTE shadow: one generation of stalled parental education, expressing itself in the educational attainment of the next.

The key evidence is not that attainment was low after the disruption —it is the *timing* of recovery. Simple persistence —attainment as an autocorrelated stock driven by school supply —predicts recovery should have followed reconstruction (1991). It did not. PTE predicts recovery follows the parental cohort (2004–2011). It did. The buildings came back in 1991. The parental baseline came back in 2011. That twenty-year gap between reconstruction and recovery is what a stalled generation looks like in the data. Two partial confounds on the plateau bear noting: continued Khmer Rouge presence in northwest provinces through 1999 and the 1997 Asian financial crisis's impact on school retention. Neither explains the twenty-year gap between reconstruction and recovery —the timing tracks the parental cohort, not the financial crisis or the security situation.

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5. Data and Empirical Strategy

5.1 Data

Education data are from WCDE v3 (Lutz et al. 2021): lower secondary completion rates for the 20–24 age cohort, which reflects completed education rather than enrolment. Coverage: 187 countries, 1975–2015 at five-year intervals (1,683 country-years). Long-run analysis uses a 28-country subsample extending back to 1900, selected for data availability; the generational coefficient varies systematically with baseline education level (Section 6.1). GDP data: World Bank, constant 2017 USD, per capita, log-transformed. Life expectancy and TFR: World Bank and UN Population Division. Parental education: each country's lower secondary completion lagged 25 years (T−25).

The quality objection —that completion measures quantity rather than quality (Hanushek & Woessmann 2008, 2015) —applies to a different question. Hanushek & Woessmann's dataset begins in 1960 and spans roughly 40 years; their test score measures do not exist before international assessments began in the 1960s. The educational ruptures that explain Korea, Taiwan, Sri Lanka, and Kerala all precede their data. More fundamentally, quality follows quantity in the historical sequence: a literate, numerate population is the precondition for any test to administer. WCDE completion is the appropriate measure for a 50–100 year generational mechanism; Hanushek & Woessmann's quality measures capture downstream returns to education already achieved. A further confound: their cross-country test score comparisons largely contrast developed with developing countries. Second-generation learners in high-completion countries outscore first-generation learners in low-completion countries not because their schools are superior but because educated parents transmit cognitive advantage at home —the PTE mechanism operating within their "quality" variable. What they identify as school quality is partly accumulated parental education —teachers in high-completion countries are themselves second-generation learners, bringing higher baseline preparation into the classroom. Both the student and the teacher effects are expressions of prior generational accumulation, not independent inputs.

The quality objection also misidentifies what PTE transmits. The biological transmission channel is ancient (Section 2.3), but the content that formal education loads onto it is categorically new. For most of human history, what filled the juvenile period was culturally transmitted knowledge: subsistence skills, social norms, oral tradition. Formal education —even at the lowest quality —represents a

categorical discontinuity from this baseline. Anumeric societies illustrate the distance: the Pirahã of Amazonia have no exact number words, only terms for "roughly one," "roughly two," and "many" (Gordon 2004); several Aboriginal Australian languages have words only for "one" and "two." This is not cognitive deficiency —it is the absence of what Frank, Everett, Fedorenko & Gibson (2008) call "a cognitive technology, a tool for creating mental representations of exact cardinalities." Even primary schooling —reading, writing, arithmetic —delivers cognitive technologies that are categorically unavailable through cultural transmission alone. A mother who completed primary school can read a medicine label, count change, and understand germ theory; no amount of oral tradition transmits these. The distance from no formal education to any formal education is astronomical; the distance from a bad school to a good school is marginal by comparison. PTE fires on this categorical threshold —the household decision to send the next generation to school, the health and fertility behaviours that change with any education, the aspirational shift that follows. A child with chronic malaria who attends school at reduced cognitive capacity still attended school; she still becomes a mother who sends her daughter to school. Hanushek & Woessmann measure within-generation returns to education quality —a real and important question. PTE measures the generational transmission that changes everything, and that transmission is triggered by exposure, not by test scores.

The endemic disease objection measures the wrong output for the same reason: it asks whether malaria reduces cognitive performance, when the operative variable is whether the child was in school at all. Bleakley's (2007) hookworm result is addressed in Section 4 —it is a within-country catch-up result, not evidence that health investment must precede education. The educational rupture operates at a different order of magnitude from endemic disease attendance effects: Korea gained 10–14 percentage points every five years. Even in holoendemic malaria environments, attendance reductions from clinical episodes are single-digit percentage effects. The disease burden is noise on the rupture signal.

In sub-Saharan Africa, where the educational rupture itself is still being made, the prescription is Korea —decisive, full-bore educational expansion. The next educated generation will be healthier (Section 2.4). The appearance of a health-education tradeoff is the same illusion that produced Sen's support-led category: when educational expansion is gradual, marginal inputs to attendance or health become visible and get credited as causes, just as Kerala's provision programmes were credited because the educational substrate had been building invisibly for three generations. Two further observations close the case. First, the historical control: the disease burden

was constant across early modern Europe; what varied was education. Portugal had 1% lower secondary completion in 1900 —not because of worse disease than Sweden (7%) or Germany (20%), but because the Protestant Reformation' s mass literacy drive had no Catholic equivalent (Easterlin 1981; Lutz 2009). Spain was at 0.3%. The development gap that followed was educational, not epidemiological, and the educational ruptures in Northern Europe preceded modern disease control by centuries. Second, the gender test: if endemic disease were the binding constraint on attendance, attendance gaps should be equal across sex —helminths and plasmodium do not discriminate by gender. They are not equal. In India, the gender gap in lower secondary completion reached 8 percentage points in the 1990s (WCDE v3); in Nepal, 9 percentage points; in Nigeria, 9 percentage points. Girls were not sicker than boys. They were not sent to school —kept home at puberty for domestic labour, marriage, or safety concerns. The largest attendance gaps in every disease-endemic country are gendered, driven by social exclusion that has nothing to do with parasites. The binding constraint on attendance is whether a school exists and whether the household decides to send the child; disease is one friction among many and not the dominant one. There is no tradeoff. There is only the speed of the rupture.

5.2 Empirical Strategy

Primary specification —country fixed effects regression:

$$E_{it} = \alpha_i + \beta_1 E_{i,t-25} + \varepsilon_{it}$$

where α_i absorbs all time-invariant country characteristics including institutions, geography, culture, and colonial history. The coefficient is identified entirely from within-country variation over time.

Comparison specifications:

$$E_{it} = \alpha_i + \beta_2 \ln Y_{it} + \varepsilon_{it}$$

$$E_{it} = \alpha_i + \beta_1 E_{i,t-25} + \beta_2 \ln Y_{it} + \varepsilon_{it}$$

For development outcomes, forward-lagged by one PTE interval to eliminate reverse causality:

$$O_{i,t+25} = \alpha_i + \gamma_1 E_{it} + \gamma_2 O_{it} + \varepsilon_{it}$$

where O_{it} controls for initial outcome levels. O_{it} is not a bad control in the Pearl (2009) sense: it is caused by *prior* education ($E_{i,t-25}$, the parental cohort), not by E_{it} itself —the PTE mechanism means E_{it} has not yet had time to affect O_{it}. Conditioning on initial outcomes is conservative; it absorbs prior trajectory and makes γ_1 a lower bound on education's true effect.

On year fixed effects. Adding country + year FE reduces the parental coefficient to β=0.080 (R^2=0.009; Appendix Table A1). This is a real result. It means that after removing what all countries shared in a given year, parental education still predicts child education ($p<0.001$) —but most of the within-country variation is in the shared component.

The question is what that shared component represents. The post-1975 period saw rising education levels across nearly all countries simultaneously. Year FEs absorb this global trend. If the trend were a confounder —something external to education driving all countries upward —then removing it would reveal the true, smaller effect. But the trend is itself education-driven, and understanding why connects directly to this paper's argument.

Educated people can see that education worked for them. As their family sizes fell and their children's survival ceased to be in question (Section 2.3), the impulse to want the same for others —within their own countries and beyond —was released. Missionaries built schools. Colonial administrators established education systems. Post-independence elites —educated themselves —adopted compulsory schooling laws. International institutions diffused educational policy. The impulse was real and persistent. But it was also imperfect —not because of any single theorist, but because scarcity is the deeper default. Every organism that has ever lived competed for scarce resources; two million years of human evolution and three billion years of life before that selected for brains that ask *what do people need?* (Konner 1982). That instinct persists even after the Malthusian constraint is broken. It makes us reach for the visible —food, health, security, money —rather than ask what is fundamental. Education, riding on top of fossil fuels, reduces fertility and mortality. That is fundamental. Everything else is downstream. But the scarcity-trained brain does not see it, because the instinct is to address the need, not to ask what produced the capacity to address it. Educated elites who could see that education transformed their own lives nevertheless channelled resources toward health provision, income growth, and institutional reform rather than toward replicating the education that produced all three. Sen's framework is the most influential expression of this instinct, not its origin. Education is cheap to deliver —Korea

built its system with class sizes of 60–80 and double shifts —yet it remains systematically underfunded because the instinct to address visible need overrides the recognition of what is fundamental. The global trend exists *despite* this misdirection, which is evidence of how strong the underlying impulse is. It would be faster with the right framework. That is the policy point of this paper.

The decisive test is the long-run 28-country panel (1900–2015), which covers a period before any global education trend existed. Countries were moving slowly and unevenly; there is no common upward trend for year FEs to absorb. If the post-1975 result were a trend artefact, the pre-trend period should produce a weaker coefficient. It produces a stronger one (β=0.960). The mechanism is not the trend.

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6. Results

6.1 Education vs. GDP as Predictors of Attainment

Table 1. Country fixed effects regressions: child lower secondary completion on parental education and log GDP per capita. 187 countries, 1975–2015, 1,683 country-years.

Model	Parental edu β	Log GDP β	R^2 (within)
(1) FE: child ~ parent	**0.482*** **	—	**0.455**
(2) FE: child ~ log GDP	—	15.369***	0.256
(3) FE: child ~ parent + log GDP	0.519***	5.470***	0.556

*Standard errors clustered by country. *** p<0.001. Robustness check: substituting female lower secondary completion for aggregate on the same sample yields β=0.419, R^2=0.388 versus aggregate β=0.482, R^2=0.455 (WCDE v3) —weaker, not stronger. PTE is a household mechanism operating through both parents and the broader family environment, not exclusively through maternal education. The gender gap in completion itself collapses with education — Korea's 9pp male advantage in 1960 disappeared by 1990; across all countries, the gap reverses above 50% aggregate completion, with women outperforming men (WCDE v3). Female completion is compressed by social exclusion of girls at low baselines and converges to aggregate as the rupture proceeds. The aggregate specification captures PTE more accurately than either sex-specific series.*

Descriptively, parental education accounts for a larger share of within-country variance (R^2=0.455) than log GDP alone (R^2=0.256).

In the combined model, the parental coefficient barely changes (0.482 → 0.519), confirming that GDP adds marginal power without displacing the generational mechanism. But the decisive test is not the level of R^2 —both education and GDP are slow-moving stocks and mechanical persistence could inflate any lagged R^2. The decisive test is the shape across lags (Figure A1, Appendix): two slow-moving variables with different lag-decay profiles cannot both be explained by persistence alone.

When country and year fixed effects are both included, the parental coefficient falls to β=0.080 (R^2=0.009; Table A1). Section 5.2 explains why: year FEs absorb the global educational expansion —driven by educated people seeing that education works, but misdirected by the scarcity instinct toward visible need rather than what is fundamental. Readers who treat the two-way FE as the conservative lower bound should interpret β=0.080–0.482, depending on whether the global rupture is treated as signal or noise.

In the century-long panel (28 countries, 1900–2015, 672 observations): FE β=0.960 —the average generational coefficient across the full educational trajectory. The decline from β=0.960 to β=0.482 between the long-run and post-1975 panels is not a methodological artefact; it reflects the S-curve structure of educational development, visible within individual countries.

Within individual countries, β varies systematically with baseline education level (Figure 1). The United States shows β=1.9 when its baseline was 13% (early 20th century), declining to β=0.08 when its baseline reached 92%. Korea shows β=6.5 at 1% baseline, declining through β=3.6, β=1.8, and β=0.2 as its baseline rose to 59%; Taiwan follows a nearly identical trajectory (β=5.1 at 1.2%). The Philippines —which inherited a comparable colonial educational base (22% in 1950 vs Korea's 25%) but no post-independence rupture —shows a flatter curve: β=4.4 at 1.5% declining more slowly to β=0.4 at 49%, still accumulating but without the state acceleration. Given the small number of observations in 25-year windows at very low baselines (~6 cohorts), the β estimates at very low baselines are noisy, but the S-curve structure is robust across all countries with sufficient historical depth. The decisive evidence is the completion trajectories themselves: Korea moved from 25% to 94% in 35 years; the Philippines moved from 22% to 75% in 65 years. Bangladesh shows β≈2 throughout its observed trajectory (1–18% baseline), consistent with a country still in the steep part of the S-curve. India follows a similar pattern at β≈2 through 28% baseline.

Figure 1. Generational β varies systematically with baseline education level. Each point represents a 25-year sliding window (6 child cohorts) within a single country, plotted against the average

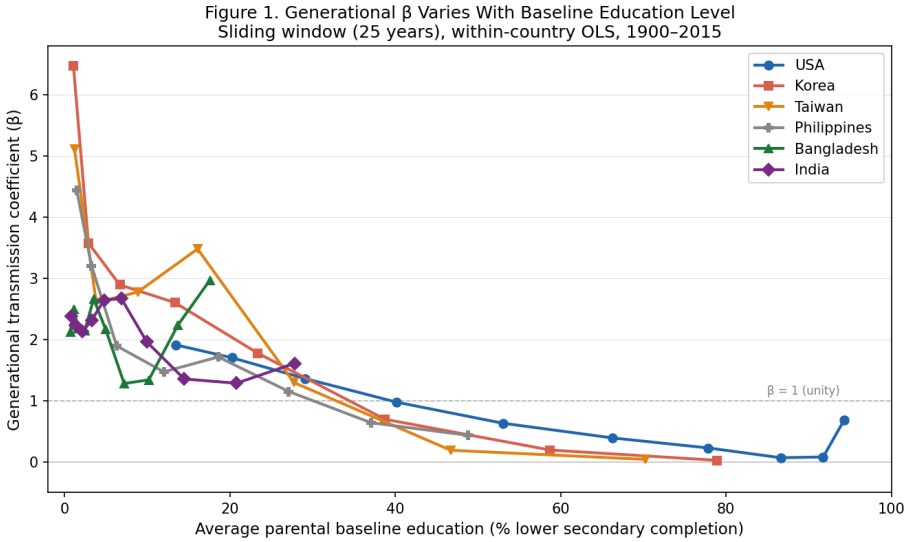

Figure 1: Figure 1: Generational β varies with baseline education level

parental baseline for that window. β>1 at low baselines reflects state investment and household transmission reinforcing each other; β→0 at high baselines reflects the ceiling effect; β is always positive — education never depreciates across generations. Korea and Taiwan (Japanese colonial base, sustained by post-colonial state) show steep S-curves from β>5 to near-zero. The Philippines (American colonial base of comparable depth, not sustained post-independence) shows a flatter curve —still accumulating but without the state acceleration that compressed Korea and Taiwan' s trajectories. Bangladesh and India, still at low baselines, show sustained β≈2. *(Source: author' s calculation, WCDE v3 long-run cohort reconstruction 1875–2015 — broader coverage than the 28-country regression panel in Table A3; Philippines historical data is from WCDE' s extended cohort reconstruction and carries greater uncertainty for pre-1950 colonial-era observations. See* `analysis/scripts/fig_beta_vs_baseline.py`*)*

Three properties emerge from this structure:

First, β exceeds unity at low baselines. This is not "pure PTE" — it is state investment and household transmission reinforcing each other. When a state makes the educational rupture at a low baseline, each parental percentage point of completion produces more than one percentage point in the next generation because the state is simultaneously pushing: building schools, training teachers, enforcing attendance. The state reaches unreached children; PTE trans-

mits what parents already have. Both channels operating together produce $\beta>1$.

Second, β approaches zero at high baselines. This is a bounded variable —completion cannot exceed 100% —so β mechanically declines as countries approach ceiling. The mechanism has not weakened; the job is done. Education is locked in and self-sustaining through household transmission without further state effort. The speed at which β collapses is itself the measure of how fast a country developed: Korea's β fell from 6.5 to near-zero in 60 years; the Philippines took the same range and stretched it over 90 years; Bangladesh's β has held at ~2 for a century, still on the steep part of the curve.

Third, β is always positive. At no point in any country's trajectory does educational attainment decline from one generation to the next under normal conditions. This is PTE's distinctive property —durability (Section 2.3). Only the physical destruction of the educated population itself can reset the generational clock; the Cambodia case (Section 5) is the direct test.

$\beta=0.960$ is the average across the full trajectory; $\beta=0.482$ samples a 40-year window (post-1975) in which many countries are near ceiling and the steep part of the S-curve is underrepresented. Neither is "the true β." The generational coefficient is a function of where a country sits on the development trajectory. Splitting the post-1975 panel by 1975 baseline confirms this: countries below 20% completion show $\beta=1.585$ ($R^2=0.706$, n=423, 47 countries), countries at 20–60% show $\beta=0.713$ ($R^2=0.716$, n=675, 75 countries), and countries above 60% show $\beta=0.176$ ($R^2=0.442$, n=585, 65 countries). The pooled $\beta=0.482$ is an artefact of mixing countries at structurally different positions on the same S-curve. The 28-country long-run panel ($\beta=0.960$) is dominated by countries that developed slowly —European nations that took 50–100 years to traverse the S-curve —whose β never crashed because they never accelerated.

The policy implication is direct: countries at low baselines —sub-Saharan Africa, parts of South Asia —should expect $\beta>1.5$ if they make the educational rupture. The post-1975 average of $\beta=0.482$ systematically understates what these countries will experience. Bangladesh's $\beta\approx2$ is the relevant coefficient for countries beginning the rupture now, not the global average dragged toward zero by countries that completed the transition decades ago.

6.2 Education Predicts Development Outcomes 25 Years Forward

Table 2. Fixed effects regressions: development outcomes one PTE interval forward on education, controlling for initial outcomes.

Panel A reports education predicting development outcomes forward; Panel B reports the symmetric reverse regression (GDP predicting education forward) to demonstrate mutual endogeneity.

Panel A: Education(T) → development outcomes(T+25)

Outcome (one PTE interval forward)	Education β	Initial outcome β	R^2 (within)
Log GDP per capita	+0.012***	+0.173***	0.354
Life expectancy (years)	+0.108***	+0.301***	0.384
Total fertility rate	−0.032***	+0.037*	0.367

Panel B: Log GDP(T) → education(T+25) —reverse regression

Outcome (one PTE interval forward)	Log GDP β	Initial edu β	R^2 (within)
Lower secondary completion	+14.85***	—	0.272
Lower secondary completion	+3.780***	+0.485***	0.500

Country fixed effects, same panel. n=828 for GDP-education matched obs.

Each 1pp gain in lower secondary completion predicts, one PTE interval forward: 1.2% higher income, 0.108 more years of life, and 0.032 fewer children per woman, identified from within-country variation after controlling for initial conditions.

The single-variable forward predictive power is approximately symmetric: education alone predicts GDP forward at R^2=0.259, and GDP alone predicts education forward at R^2=0.272. At a 25-year horizon, both variables predict each other —as expected, since income is downstream of education and the two move together within countries over time. No reduced-form R^2 at a single lag can distinguish cause from effect.

Figure A1 resolves this. Measured across lag lengths from 0 to 100 years, education and income have structurally different decay profiles. Education's predictive power for life expectancy decays slowly across three generational depths: R^2=0.562 at lag 0, R^2=0.364 at lag 25, R^2=0.171 at lag 50, R^2=0.085 at lag 75. Income's collapses within one generation —already fading by lag 20–25. Beyond lag 50, income data thins out not because of measurement failure but because these are pre-literate subsistence societies: income was uniformly low before education created it. There is no hidden income signal at long lags —there is no income variation to predict with. Two variables that look symmetric at lag 25 produce completely different shapes across lag lengths. Autocorrelation cannot explain this: if both were simply slow-moving stocks, they would produce the same decay profile. They do not. Education's shape is the signature of a mechanism that compounds through households across generations (Section 2.3). Income's shape is the signature of a transient correlate that depreciates when conditions change.

The parental income test confirms the asymmetry in generational transmission. Regressing child education on parental log GDP (T−25) alone yields β=15.4 (R^2=0.293), but conditional on parental education the GDP coefficient drops by 72% to β=4.3 (p=0.04), adding only R^2=0.014 beyond education alone. That parental income retains marginal significance is unsurprising —income and education are correlated within households, and some income effect on child education is plausible at the margin. The decisive point is not whether the coefficient reaches zero but that education's coefficient barely moves (β=0.475 from 0.553) while income's collapses in magnitude. Education is the durable channel; income is the transient correlate.

The TFR result is decisive: initial fertility barely predicts subsequent fertility change once education is included (β=0.037). Demographic momentum does not drive the transition —education does, operating through micro-decisions made by educated women about their own bodies and households.

6.3 Policy Over-Performers

Table 3. Countries delivering education above generational baseline, 2015 FE residuals. The residual measures how far a country exceeded its own predicted within-country trajectory —not a global average, but performance above each country's own historical trend.

Country	FE residual above baseline	GDP per capita (2015)
Maldives	+34.9 pp	$9,645
Cape Verde	+26.3 pp	$3,415
Bhutan	+26.1 pp	$2,954
Tunisia	+25.5 pp	$4,015
Nepal	+17.8 pp	$876
Viet Nam	+16.0 pp	$2,578
Bangladesh	+15.8 pp	$1,224
India	+14.1 pp	$1,584

Nepal at $876, Bangladesh at $1,224, Vietnam at $2,578: the premise that income is the prerequisite for educational over-performance is directly refuted. These countries made the decision to treat education as the primary investment and produced outcomes that outpaced both their demographic inheritance and their income.

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7. When Did Sen's Cases Actually Develop?

This is the empirical core of the argument against Sen. If the support-led account is correct, we should see welfare improvements tracking the provision of services. If the education-mediated account is correct, we should see development —as defined by the TFR and life expectancy thresholds —occurring at one PTE interval (~25 years) after sustained education investment, regardless of what state provision was present.

Table 4. Year of development (TFR < 3.65 AND life expectancy > 69.8) and relationship to prior education investment. Thresholds are 1960 United States values (World Bank WDI).

Country	Developed by	TFR < 3.65	LE > 69.8	Primary education investment	Lag	PTE cycles
Taiwan	**1972**	1972	1972	1950s simultaneous primary + secondary expansion	~20 yrs	**1 cycle**
South Korea	**1987**	1975	1987	1953–65 simultaneous expansion	~22–34 yrs	**1 cycle**
Cuba	**1974**	1972	1974	40.3% lower sec by 1960; post-revolution exodus hollowed professional class; 1961 campaign rebuilt and expanded educational base	~13 yrs on base	**1 cycle**

Country	Developed by	TFR < 3.65	LE > 69.8	Primary education investment	Lag	PTE cycles
Bangladesh	**2014**	1995	2014	1990s–2000s sustained girls' education expansion; policy over-performer (+15.8pp, Table 3)	~24 yrs	**1 cycle**
Sri Lanka	**1993**	1981	1993	1940s–50s colonial and missionary literacy	~42 yrs	**2 cycles**
China	**1994**	1975	1994	1950s mass campaigns + CR-era community schools (largest lower sec gains in dataset)	~42 yrs from base	**2 cycles**

Country	Developed by	TFR < 3.65	LE > 69.8	Primary education investment	Lag	PTE cycles
Kerala†	**~1982**	~1973	~1981	Early 20th C social reform literacy movements	~60–70 yrs	**3 cycles**
Uganda	**not yet**	not yet (TFR 5.25 in 2015)	not yet (LE 63.8 in 2015)	No sustained educational rupture; post-independence provision collapsed under Amin (1971)	—	—

† Kerala figures estimated from India Sample Registration System and census records; all other figures from World Bank WDI direct measurement.

The variation in lag maps directly onto PTE's generational structure. The theory specifies what determines the number of cycles independently of the development dates themselves —it is not fitted post-hoc. Two parameters determine depth: (1) the speed of educational expansion relative to the starting base, and (2) whether the LE pathway was structurally disrupted during the transmission period.

The speed parameter is calibrated against the empirical best case. Korea expanded from ~25% to 94% lower secondary completion in 35 years (1950–1985) at 2.14 percentage points per year — the fastest sustained national educational expansion in the WCDE dataset across this period. Singapore achieved a comparable pace: 13% to 94% in 45 years (1950–1995) at 1.80 pp/yr. The Korea–

Singapore average (approximately 1.97 pp/yr) sets the benchmark used to classify other cases; Korea itself is therefore the benchmark calibration case in Table 4, and all other rows constitute independent tests. These rates are not theoretical maxima; they are the observed rates of states that made education the unconditional national priority and sustained that commitment for a generation. They represent what full state commitment looks like in the data.

I define the rupture margin as the speed of educational expansion relative to the starting base: the ratio of pp/yr gain to the gap remaining to universal completion. A high rupture margin (Korea, Taiwan: ≥2 pp/yr from bases below 25%; Cuba: 2.27 pp/yr from 40%) compresses the generational cycle; a low rupture margin (India: 0.87 pp/yr) spreads it across three or more generations.

The cases in Table 4 distribute around this benchmark. Korea, Taiwan (2.15 pp/yr), and Cuba (2.27 pp/yr) all expanded at approximately Korea pace and crossed the development threshold within one PTE interval —roughly 20–34 years from the start of the rupture. Bangladesh (1.23 pp/yr) expanded at roughly half Korea pace and still achieved a PTE-distance crossing in 24 years, beginning from a higher starting base in 1990. Sri Lanka (1.20 pp/yr) expanded at nearly the same rate as Bangladesh but from an earlier starting point (1950) and with a civil war that directly disrupted the LE pathway for over a decade; its development crossing arrived 43 years after sustained expansion began —two PTE cycles. China (1.50 pp/yr) expanded faster than Bangladesh in absolute terms but from a much lower base (10% in 1950), requiring more absolute distance to travel; the Deng-era dismantling of the barefoot doctor network introduced a further LE delay. India (0.87 pp/yr) —roughly 40% of Korea pace —accumulated gradually without a state-committed rupture, producing the three-generation trajectory that Kerala exemplifies.

The key implication is that multi-generation crossings are not distinct mechanisms —they are what PTE looks like at different fractions of Korea pace. A country currently on a two-generation trajectory that makes a Korea-pace commitment compresses to a one-generation crossing. PTE is always operating; state investment accelerates it. What varies is how much the state adds above the natural intergenerational baseline —from nothing (gradual accumulation over three generations) to Korea pace (one-generation rupture).

The second parameter is structural disruption. Life expectancy gains flow from education through household health behaviours and the agency of educated populations who become the workforce that delivers health services —neither requires markets. What delays LE crossing is conflict that directly kills and displaces populations, or state dismantling of health services before the educated population

can rebuild them. Sri Lanka's 12-year gap between TFR and LE crossing (1981→1993) maps onto the civil war's onset (1983) and its disruption of health services and physical security. China's 19-year TFR-to-LE gap (1975→1994) reflects Deng's dismantling of the barefoot doctor network and China's larger absolute distance from the LE threshold. Both delays are disruption-mediated. Korea, Taiwan, Cuba, and Bangladesh had no comparable structural disruption during their transmission periods.

Both parameters —pace relative to the Korea benchmark, and presence of structural disruption —can be read from educational data and historical record before consulting Table 4's crossing dates. The predicted depths match the observed lag lengths: Korea-pace cases crossing in 20–34 years; half-Korea-pace cases crossing in 42–45 years absent disruption, longer with it; third-Korea-pace cases crossing in 60–70 years. The crossing dates are the test, not the inputs.

The generational depth framework also explains why the 25-year lag is the modal, not exclusive, prediction. PTE is the base unit; cases compound through one, two, or three cycles depending on the educational history of the country. Figure A1 confirms all three generational depths empirically.

Taiwan and Korea crossed earliest because they achieved the highest rupture rates in the dataset —Taiwan at 2.15 pp/yr from a ~18% base, Korea at 2.14 pp/yr from a ~25% base, both at or above the Korea/Singapore benchmark pace —and market mechanisms were fully open, allowing educated people to translate human capital into economic agency and life expectancy gains simultaneously. This simultaneous primary and secondary expansion —running both levels in parallel rather than sequentially —compressed the generational lag: development timescales of 20–34 years against the 40–70 years seen in cases of gradual or sequential expansion.

Kerala crossed at ~1982 without a market rupture and without state-led rapid expansion. The education had been building since the early twentieth century through social reform movements —not a rupture, a gradual accumulation. The micro-decision pathway fired (literate women made better health and fertility decisions) but there was no market-mediated economic translation of the kind Korea and Taiwan achieved. Kerala had extensive state provision —public health, food distribution, land reform —but state provision cannot produce a fertility decline; that is a household decision made by educated women. The TFR threshold was crossed by ~1974; the LE threshold followed ~8 years later. The contrast within India is instructive: during the Emergency (1975–77), forced sterilisation campaigns were concentrated in the least-educated northern states

—Uttar Pradesh, Bihar, Rajasthan, Madhya Pradesh —and failed, provoking a political backlash that brought down the government. Kerala needed no coercion; its educated women had already made the decision. China's one-child policy (1980) follows the same pattern (Section 7). In all three cases —Kerala, BIMARU India, China —state coercion either arrived after education had already done the work, or failed where education had not.

Sri Lanka crossed in 1993. The TFR threshold was crossed in 1981, driven by education. Life expectancy had climbed steadily to 69.0 by 1988 before the civil war's economic destruction pushed it back to 67.3 in 1989, recovering and crossing 69.8 in 1993. The war disrupted economic activity and life expectancy without breaking PTE: the household transmission of educational aspiration continued through the conflict, and Sri Lanka's education metrics did not collapse. The delay is precisely the length of the war's worst period. This is the war disrupting economies, not disrupting education.

China crossed in 1994. Two corrections to the standard narrative are required here. First, the TFR threshold was crossed in 1975 — five years before the one-child policy (1980). The mechanism was the 晚稀少 ("Later, Longer, Fewer") campaign of 1971: voluntary fertility reduction driven by expanding female education, not coercion (Miller et al. 2018). Education drove the fertility transition; the one-child policy had no independent demographic effect. Cai (2010) shows that China's fertility trajectory mirrors South Korea and Thailand's —both of which achieved equivalent TFRs without compulsory policy —and that socioeconomic development and ideational change, not coercion, explain the decline.

Second, the standard framing of China's Cultural Revolution (1966–1976) as educational catastrophe is an urban-elite projection. For the approximately 80% of China's population that was rural, the CR era produced the largest lower secondary gains in the entire WCDE 1870–2015 dataset: +10.6pp for the 1975 cohort, +15.0pp for the 1980 cohort —both cohorts whose secondary schooling fell squarely within the CR years. Community schools (民办学校) brought secondary education to villages that had none. The "lost generation" refers specifically to the ~2–3% who would have attended university and could not. The base of the pyramid expanded dramatically while the apex was disrupted.

Third: the provision debate is misconceived. Sen's framework attributes China's LE gains to the barefoot doctor (赤脚医生) program. The cross-country data shows this debate is the wrong one to have.

Countries at comparable lower secondary completion (~30%) in 1965 had life expectancies of 54–65 years —the peer average was

57.4 —regardless of whether they had barefoot doctors, Cuban-style health campaigns, or neither. The LE outcome tracks education level, not the provision model. China's 53 was anomalously low for its education level, depressed by the Great Leap Forward famine (1959–1961). The +11-year gain to 64 by 1980 was nearly double the peer average gain of +6 years over the same period (Philippines +1.5, Peru +6.1, Panama +7.1, Vietnam +8.4) —China was recovering to the LE that its education level predicted. By 1980, at 62% lower secondary completion and 64 years LE, China had converged to exactly where its education-peer group sat.

State provision is itself education-mediated (Section 2.4). The barefoot doctors and the community school teachers came from the same CR-era rural mobilisation. When Deng dismantled the barefoot doctor system after 1980, LE continued to rise —from approximately 64 to 69.8 by 1994 —because the educational baseline built into rural households did not leave with the doctors. Drèze & Sen (1989, pp. 215–221) document the resulting health crises and rising rural medical costs (Gao 2008; Liu et al. 2003), but LE gains above 65 are structurally slower than gains at 53 regardless of provision: the low-hanging fruit of infectious disease and child mortality reduction has been picked, and the remaining gains require addressing cardiovascular disease and cancer. Educational expansion continued throughout: lower secondary completion rose from 30.9% in 1965 to 62.0% in 1980 to 75.0% in 1990, tracking LE improvement across both eras. The provision account requires a discontinuity at 1980 that the data does not show.

China crossed the LE threshold in 1994 —later than Taiwan (1972) and Korea (1987) —not because provision was dismantled, but because China started further from the threshold: Korea's 1965 LE was 55.9 (14 years below 69.8), China's was approximately 53 (17 years below). At a roughly constant rate of improvement, the crossing dates follow mechanically from starting distance. And China started lower because the Great Leap Forward famine had depressed its baseline —the same event that Sen's framework treats as the starting point for a provision-led welfare success story.

Cuba crossed in 1974 —two years after Taiwan, 13 years after the 1961 literacy campaign. Cuba's educational base was substantial before the revolution: lower secondary completion was 40.3% in 1960. But the post-revolution exodus (1959–1962) removed much of the professional class —doctors, lawyers, engineers, teachers. The 1961 literacy campaign was Cuba's barefoot teacher moment: 268,000 volunteers deployed to rebuild and expand the educational base that emigration had hollowed out. This was not finishing a job —it was an educational rupture, parallel to China's community schools (民办

学校), replacing a professional elite that left with a mass household baseline that stayed. LE was 63.3 in 1960 and climbed steadily to 69.9 by 1974. Sen credits Cuba's health system; the data credits Cuba's teachers. That Cuba and Taiwan —one Soviet-aligned, one US-allied developmental authoritarian —crossed within two years of each other underscores the regime-independence point made in Section 9: the mechanism does not care what political system delivers the education.

Bangladesh crossed in 2014 —the most important case in the table. Lower secondary completion was 11.4% in 1960 and GDP per capita was $1,159 in 2014. Bangladesh crossed both development thresholds through sustained state commitment to girls' education —primary and secondary expansion from the 1990s —with virtually no income. The garment industry provided female economic participation that reinforced educational agency, but the LE and TFR gains came through educated household decisions —the same micro-decision pathway visible in Kerala and China. Bangladesh is already in Table 3 as a policy over-performer (+15.8pp above its generational baseline). The connection is direct: the over-performance was the rupture, and the 2014 development crossing was its result, approximately 24 years later. It is the cleanest available demonstration that income is not the mechanism.

What Sen saw and misread: In China, he took a famine recovery as the baseline for a provision-led welfare story, credited barefoot doctors for gains that barefoot teachers made possible, and never tested whether removing the provision changed the trajectory —it did not. In Kerala and Sri Lanka, he observed welfare outcomes above what income predicted and attributed them to direct state provision, missing that those outcomes arrived at precisely the PTE-predicted intervals after prior education investments. Whether provision existed or not is irrelevant to the outcome: countries at comparable education levels achieve comparable LE regardless of provision model. Kerala, Bangladesh, and Sri Lanka all crossed the development threshold at PTE-predicted intervals —under different political systems, different income levels, and different provision models. The mechanism is education.

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8. The Institutional Challenge

Acemoglu & Robinson (2012) argue that institutions —inclusive versus extractive —are the primary determinant of long-run development. Education, on this account, is endogenous: countries with

inclusive institutions invest in education because their political economy rewards broad-based human capital.

My fixed-effects design addresses this directly. Country fixed effects absorb all time-invariant country characteristics, including institutional quality. The parental education coefficient is identified from within-country variation over time, conditional on fixed institutional quality (Table 1). It cannot reflect institutional quality that is held constant.

But the deeper challenge to Acemoglu & Robinson runs the other way. The education-mediated account predicts that educated populations build institutions —they become the civil servants, judges, journalists, and administrators who constitute institutional capacity —rather than institutions creating education. The causal arrow in the institutional literature points in the wrong direction.

The counter-cases are instructive. Qatar ($69,000 per capita, stable institutions by standard measures) delivered 3.7 percentage points below its generational education baseline in 2015 (author's FE residuals, WCDE v3). The institutions were present; the educational commitment was not; the development did not compound. The Philippines had comparable colonial educational infrastructure to Korea but no post-independence rupture (Section 9, Figure 1). Institutions created opportunity; the absence of educational commitment prevented its realization.

The deeper challenge is that the education-first account generates an empirical prediction about the causal arrow itself, and that prediction has been tested. The mechanism runs: education → educated population → the population becomes the institutional workforce and generates institutional capacity. Glaeser et al. (2004) show that human capital predicts subsequent democratisation more reliably than initial institutional quality predicts subsequent human capital levels, directly inverting Acemoglu & Robinson's assumed causal direction. Kerala and Korea are not exceptions to the institutions-first account; they are evidence for the education-first account that the institutions-first literature has not yet engaged. Kerala's public health infrastructure was built and staffed by its educated population —the agency mechanism made concrete. Korea's developmental state was populated by the educated cohorts produced by the 1953–1965 expansion —the same cohorts whose productivity drove the income growth that is usually credited as the cause.

Institutions matter as enabling conditions for sustained educational commitment. They are not substitutes for it, and the evidence — Glaeser et al. (2004), Kerala, Korea —shows they are substantially produced by it.

9. The Educational Rupture as the One Exogenous Decision

If education is the sole primary driver, then the one genuinely exogenous political decision in the model is whether a government makes an educational rupture —a decisive, sustained commitment to treat education as the primary national objective, maintained across political cycles and competing priorities.

Every fast-developing country in the historical record made this decision at some point. The earliest modern example is Japan (1872): the Meiji compulsory education ordinance, implemented through repurposed temples with community teachers, no substantial budget — mandate before resources. The pattern recurs a century later across radically different political regimes:

- Korea, 1953–1965: simultaneous primary and secondary expansion, class sizes of 60–80, double shifts, built ahead of demand
- Taiwan, 1950s: same pattern, simultaneous rather than sequential
- Cuba, 1961: literacy campaign rebuilt and expanded a 40% base hollowed by post-revolution emigration (Section 7)

These three cases span the full political spectrum —US-allied developmental authoritarian, export-led capitalist, and Soviet-aligned communist. The educational rupture is the independent variable; regime type is not.

The colonial comparison sharpens this further. Japanese colonial education policy in Korea and Taiwan was almost singular in its depth: compulsory primary schooling enforced from the 1910s, with lower secondary infrastructure following by the 1930s. By 1950, Korea had 25% and Taiwan 18% lower secondary completion —educational bases built by a colonial state, not by household demand. The post-colonial governments in both countries then made the decisive choice: sustain and accelerate the colonial investment into a full rupture. American colonial education in the Philippines was similarly deep —22% lower secondary completion by 1950, comparable to Korea. But no post-independence government sustained it into a rupture. The result is visible in Figure 1: comparable colonial base, divergent post-colonial trajectory. The Philippines is the counter-case that proves the rupture is a choice, not an inheritance.

None of these required high income. All required the political decision to treat education as non-negotiable.

The state's role is precisely defined: reach the unreached. PTE transmits what parents have —a parent with primary education transmits primary, perhaps lower secondary. But children whose parents have no education receive nothing from PTE. The state closes this gap: building schools where none exist, reaching populations that household transmission alone cannot reach, and progressively extending the level —primary first, then lower secondary, then higher. The MDGs embodied this with their primary enrollment target; the SDGs shifted to secondary. Korea is the benchmark (Section 7): the state expanded at a steady 10–14 percentage points per five years, outpacing PTE all the way to near-universal completion. That is the model — the state extending reach, PTE transmitting what has been reached, fertility declining continuously as female secondary completion rises.

Sequential expansion —primary first, secondary a generation later —also requires state commitment but never compresses the generational lag. It takes approximately fifty years to reach the same threshold that the rupture reaches in thirty. Whether this constitutes a rupture in the same sense is a definitional question; what is clear is that both paths require sustained state education policy, and the rupture path requires the harder political decision of building secondary infrastructure before primary is universal.

The rupture activates the full range of agency simultaneously — household decisions, workforce capacity, and institutional development are expressions of a single educated cohort, not separate channels (Section 2.4).

The Korea–Costa Rica comparison makes this concrete. Costa Rica was one of Sen's support-led cases and started 1960 considerably richer than Korea: $3,609 per capita against Korea's $1,038 (constant 2017 USD). By 1990, Korea had grown to $9,673 —a 9-fold increase —while Costa Rica reached $6,037 —a 1.7-fold increase. Costa Rica had the income advantage; Korea had the educational pace. Korea expanded lower secondary at 8–14 percentage points per five years; Costa Rica expanded at 3–6 percentage points per five years. The faster educational expansion produced the market translation that made Korea's development look "growth-mediated." Costa Rica's slower expansion produced the configuration in which state provision was the observable welfare mechanism —confirming that the "support-led" appearance is a consequence of educational tempo, not a different causal pathway.

The failure mode is the absence of the rupture —treating education as one priority among many. The data identifies this precisely: countries with very low lower-secondary completion face a structural problem where parental baselines are too low and fertility too high for the demographic transition to make progress —PTE still

advances the system, but slowly, against the headwind of rapid population growth and thin household resource constraints. For these countries, state commitment to education above the demographic baseline is the only available mechanism. Growth will not initiate it (income is downstream); direct provision of health and nutrition services will not initiate it —provision produces temporary gains but cannot self-sustain, and every fiscal dollar spent on provision rather than education delays the only mechanism that is irreversible. Only the educational rupture starts the transmission —and only sustained state education policy, maintained all the way to near-universal completion, sustains it.

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10. Limitations

Four limitations. First, the long-run 28-country panel (1900–2015) is selected on early-twentieth-century data availability —predominantly European nations and settler colonies. The paper' s central claims rest on the 187-country post-1975 panel, the development-date evidence (Table 4), and the S-curve structure (Figure 1), not on the specific value of β=0.960. Second, Kerala figures are estimated from India' s Sample Registration System and census records rather than direct WCDE measurement; they carry greater uncertainty than the country-level figures in Table 4. Third, the analysis does not decompose the channels through which educated populations generate development outcomes —household decisions, workforce capacity, institutional development are subsumed in the PTE coefficient. Clean decomposition is not feasible; these are expressions of a single agency operating simultaneously. Fourth, the claim that provision is downstream of education is supported by indirect evidence —Figure A1' s lag structure, the policy over-performers in Table 3, and China' s post-barefoot-doctor trajectory (Section 7) —but not directly tested. Direct testing using health workforce composition data disaggregated by prior education levels remains a programme for future work.

11. Conclusion

The evidence from 187 countries over 55 years, and from the specific cases Sen used to build his framework, supports a single conclusion: education is the sole primary driver of human development. Income is a downstream consequence —real, but not independently operative. Direct provision is infrastructure that educated populations build, staff, and use —also real, but a consequence of education rather than a cause of development.

Sen's dichotomy describes two surface appearances generated by the same mechanism under different conditions of tempo and market structure (Section 1). He built a typology of outputs. I have identified the input.

The state reaches the unreached; PTE makes the gains irreversible (Section 2.3). The development-date table —Taiwan 1972, Cuba 1974, Kerala ~1982, Korea 1987, Sri Lanka 1993, China 1994 —is the empirical test: each country crossed the development threshold at the interval that prior education investment and rupture margin predict.

The policy implication is direct. For the countries that have not yet crossed the development threshold, the question is not whether development will look like growth or welfare provision from the outside. It is whether to make the educational rupture. Everything else follows from that one decision, transmitting through PTE into every generation that follows.

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Development threshold data computed from World Bank WDI. USA 1960 benchmarks: TFR = 3.65, life expectancy = 69.8. Full analysis code and regression outputs available in the accompanying repository.

Appendix

Table A1. Two-way fixed effects (country + year): child lower secondary completion on parental education and log GDP per capita. Model (1) uses the full 1,683 country-years (187 countries × 9 time points, 1975–2015). Models (2) and (3) restrict to observations with WDI GDP data (1,229 obs, 148 countries). R^2 is the partial within-R^2 (incremental variance explained beyond country + year FEs). See `scripts/table_a1_two_way_fe.py`.

Model	Parental edu β	Log GDP β	R^2 (within)
(1) FE + year: child ~ parent	0.080***	—	0.009
(2) FE + year: child ~ log GDP	—	3.930***	0.027
(3) FE + year: child ~ parent + GDP	0.239***	3.174***	0.095

*Standard errors clustered by country. *** p<0.001.*

Year dummies absorb the global education expansion that is the phenomenon under study. The near-zero R^2 across all two-way FE models reflects that almost all within-country variation in education over time is shared across countries —i.e., it is the global expansion. Conditioning it out leaves only idiosyncratic residual variation with no theoretical reason to follow PTE. Under this over-controlled specification, both parental education and GDP explain only a small fraction of residual within-country variation (R^2=0.009 and R^2=0.027 respectively), confirming that the global trend —not idiosyncratic country deviation —is what the country-FE model captures.

Table A2. Robustness to alternative lag lengths. The T+25 results in Table 2 are robust to alternative lag specifications. Across lags of 15, 20, 25, and 30 years, education coefficients retain direction and significance (p<0.001) for all three outcomes. The life expectancy and TFR coefficients strengthen between T+15 and T+25–30, consistent with the generational mechanism: the full expression of parental education in population-wide health and fertility outcomes accumulates over time rather than appearing discretely at one lag length. The T+25 specification is the theoretically motivated anchor, not a cherry-picked optimum. A reviewer might expect the 25-year lag to produce a sharp spike if the mechanism is truly generational. Figure A1 shows the full lag profile: education's predictive

power for life expectancy is smooth across all lags from 0 to 100 years, not a step function at 25. This is expected —PTE is the modal generational interval, not a hard cutoff, and different families transmit education across slightly different intervals depending on age at childbearing and educational path length. Gradual decay is the correct prediction of a generational mechanism, not a spike.

Table A3. Long-run panel countries (1900–2015, 28 countries). Selected on the criterion of self-determined education policy and data quality; colonial-era data for colonised countries reflects colonial investment rather than domestic policy decisions and is excluded. *East Asia:* Japan, Taiwan, South Korea. *Western Europe:* United Kingdom, France, Germany, Sweden, Norway, Denmark, Finland, Netherlands, Belgium, Switzerland, Austria, Italy, Spain, Portugal. *New World:* United States, Canada, Australia, New Zealand. *Latin America:* Argentina, Chile, Uruguay, Cuba, Costa Rica. *Other:* Sri Lanka (British Ceylon —active colonial education investment, known anomaly), Hong Kong.

Table A4. Development threshold robustness: crossing dates under three specifications (World Bank WDI data; Taiwan excluded —not in WDI). The loose spec uses generous thresholds; the main spec uses the 1960 USA values; the strict spec uses replacement fertility (TFR < 2.1) and the USA life expectancy in 1972 —the year the USA itself completed the demographic transition.

Case	Loose (TFR<4.0, LE>68.0)	Main (TFR<3.65, LE>69.8)	Strict (TFR<2.1, LE>71.2)	Shift range
Cuba	1971	1974	1978	7 yrs
South Korea	1984	1987	1990	6 yrs
Sri Lanka	1980	1993	2015	35 yrs
China	1990	1994	1997	7 yrs
Bangladesh	2010	2014	not yet	—

Note: The shift range is itself diagnostic. Countries with high rupture rates (Korea 2.14 pp/yr, Cuba 2.27 pp/yr, China 1.50 pp/yr) cross any reasonable threshold definition within 6–7 years —the transition is steep enough that the choice of line barely matters. Sri Lanka's 35-year shift reflects the civil war holding life expectancy near the threshold for decades while the educational base continued accumulating beneath it; the binding constraint was disruption, not the threshold definition. Bangladesh has not yet reached replacement fertility (TFR 2.18 in 2022). Taiwan (1972, WCDE/alternative

sources) is consistent with Cuba under all specifications but cannot be computed from WDI data.

Figure A1 provides independent evidence for PTE's durability property by switching the outcome from educational attainment (Table 1) to life expectancy, examining both predictors at every lag from 0 to 100 years.

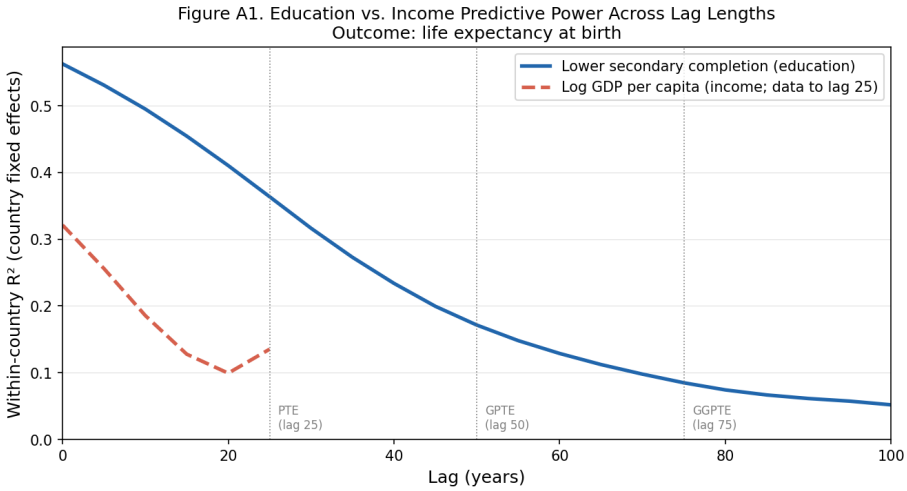

Figure 2: Figure A1: Education vs. income predictive power across lag lengths

Figure A1. Education vs. income predictive power across lag lengths (within-country FE, outcome: life expectancy at birth). The figure plots within-country R^2 for two predictors —lower secondary completion rate and log GDP per capita —against lag lengths from 0 to 100 years. Three generational horizons are marked: one PTE cycle (lag 25), two cycles (lag 50), three cycles (lag 75). Education peaks at lag 0 (R^2=0.562) and decays slowly across all three depths: R^2=0.364 at one generation, R^2=0.171 at two, R^2=0.085 at three. Income is shown through lag 25 only; beyond that, income data thins out because these are pre-literate subsistence societies where income was uniformly low —there is no income variation to predict with before education created it. Within the comparable range: income R^2=0.321 at lag 0, declining to R^2=0.099–0.135 at lag 20–25. At PTE the education-to-income ratio in predictive power is approximately 3:1. Education's signal persists across three generations of transmission; income's decays within one. *(Source: author's calculation, World Bank WDI and WCDE v3. See* `analysis/scripts/fig_a1_lag_decay.py`*)*

The lag structure is itself diagnostic. If income caused life expectancy through a delayed mechanism —the standard income-first account —its predictive power should persist at longer lags as the mechanism has time to operate. Instead, income' s predictive power is strictly contemporaneous, consistent with co-movement rather than upstream causation.

The variation absorbed by year FE is theoretically meaningful —it is the global impulse described in Section 5.2: educated people wanting education for others, persistent but misdirected by the scarcity instinct toward visible need.